

Corporate Governance Overview Statement

Shareholders who are unable to attend, are allowed to appoint proxies to attend and vote on their behalf. Additionally, Shareholders are welcome to reach out to the Company with any queries they may have.

Shareholders are encouraged to be aware of their rights with regards to the convening of general meetings, proxy appointments, and access to information. Detailed information regarding shareholders' rights can be found at www.protasco.com.my.

In line with the Listing Requirements aimed at reinforcing good Corporate Governance Practice, the Company implemented electronic poll voting during General Meetings. An independent party is appointed to verify the votes casted at the AGM.

INVESTOR RELATIONS

The Company's Investor Relations Department engages in periodic dialogues with analysts and shareholders to provide updates on business performance and corporate developments.

In addition, the Company releases its financial results and other mandatory announcements on a timely basis and responds promptly to enquiries from investors, regulators, the public and financial analysts.

To further assist its stakeholders, the Company maintain a dedicated website, www.protasco.com.my. Additionally, the Company has subscribed to Bursa Malaysia's website linking service, enabling concurrence retrieval of the Company's announcements made to Bursa Malaysia.

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This statement is prepared in compliance with the Main Market Listing Requirements and it should be read together with the Corporate Governance Report 2023 of the Company, which is available on Protasco Berhad's website at www.protasco.com.my.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

The Board of Directors (the Board) is committed to maintain a sound system of risk management and internal control of the Group and is pleased to present its Statement on Risk Management and Internal Control (Statement) for the financial year ended 31 December 2023. This Statement is prepared pursuant to paragraph 15.26(b) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Listing Requirements) in accordance with the Malaysian Code of Corporate Governance (MCCG) and as guided by the latest “Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers” (the Guidelines). This Statement describes the nature and scope of the risk management and internal control of the Group except for associate companies.

OBJECTIVES

- Maintain a reliable and effective risk management practices. Such practices will identify, assess and monitor key business risks and to safeguard and enhance the Group’s assets and shareholders’ investments; and
- Review the effectiveness of the risk management framework in identifying and managing risks and internal processes which include but not limited to ensuring adequacy of risk management policy and infrastructure to facilitate the implementation of action plans for risk management.

ROLE & RESPONSIBILITIES

A sound framework of risk management and internal control is fundamental for good corporate governance.

Key Roles:

(1) The Board

The Board is cognisant of its overall responsibility and accountability for maintaining a sound system of risk management and internal control processes to safeguard the shareholders’ wealth and the Group’s assets by keeping abreast with developments in areas of risk and governance. In view of limitations inherent in any process, and that risks cannot be eliminated completely, the Group has established a risk management and internal control system designed to manage and mitigate risks within tolerable levels. The system of internal control is defined as the action taken by the Board and Management to manage risk and increase the likelihood that the established goals will be achieved. This system provides reasonable but not absolute assurance against material misstatement, loss or fraud.

The Board affirms its responsibility in reviewing and monitoring the adequacy, effectiveness and integrity of the Group’s system of risk management and internal control, including adhering to the applicable laws, regulations, rules, directives and guidelines. The Board approves and monitors the Group’s risk management strategy that oversees its implementation. The Board is supported by the Board Risk Management Committee (BRMC) in evaluating the adequacy and the effectiveness of the risk management framework and the internal control system. The Board is further assisted by the Audit Committee (AC) in the evaluation of the adequacy and effectiveness of the internal control system. Please refer to the AC Report in page 104 to page 106 of this Annual Report for further details.

The Board is satisfied that the Group has put in place a systematic risk management framework entailing processes to identify, evaluate and monitor principal risks, and implemented adequate internal control to manage the risks across the Group.

(2) The Board Risk Management Committee

The BRMC was established to uphold risk oversight within the Group. It is chaired by an Independent Non-Executive Director, who is neither the Chairman of the Board nor the Chairman of the AC.

The BRMC provides a strategic direction in terms of risk management and mandates the Risk Management Committee (RMC) to oversee the establishment and implementation of the risk management process.

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The members of the BRMC are:

Members	Directorship	Roles
Celine Chan Hooi Li	Independent Non-Executive Director	Chairman
Dato' Tan Yee Boon	Independent Non-Executive Director	Member
Dato' Ir Kenny Chong Ther Nen	Group Managing Director	Member

The responsibilities of the BRMC in respect of risk management and internal control are as follows:

- Oversee and recommend risk management strategies, framework and policies and procedures of the Group;
- Review and recommend changes as needed to ensure that the Group has in place at all times a Risk Management policy which addresses the strategic, operational, financial and compliance risks;
- Implement and maintain a sound risk management framework which identifies, assesses, manages and monitors the Group's business and other risks;
- Develop and inculcate a risk awareness culture within the Group;
- Review the adequacy and effectiveness of the said risk management and internal control systems;
- Oversee specific risk management concerns raised by business units; and
- Review the Group's risk profiles and evaluate the measures taken to mitigate business and other risks.

The BRMC does not review the internal control systems of associates where the Group does not have any direct control over their operations. Notwithstanding the above, the Group's interests are assured through board representations in the respective associates and the receipt and review of the management accounts and enquiries thereon.

The BRMC has established ongoing processes for identifying the principal risks impeding the achievement of the organisation's goals and objectives:

- To evaluate the nature and extent of those risk;
- To manage them efficiently, effectively and economically; and
- To regularly review, and taking into account changes in the regulatory and business environment as mentioned in the Guidelines.

In accordance with the Guidelines, the Board assures that this process has been in place for the year under review and up to the date of approval of this Statement for inclusion in the Annual Report.

(3) The RMC

The management, through its RMC, assists the BRMC in ensuring a sound and robust risk management framework, processes and practises to achieve the Group's strategic objectives and to safeguard shareholders' investments and Group's assets.

The RMC is responsible for the implementation of the approved framework, policies and procedures pertaining to risk management. This is to ensure that business strategies and risk management are aligned.

The members of the RMC are:

Members	Designation
Group Managing Director	Chairman
Head of Corporate Assurance	Committee Member and ERM Coordinator
Head of Corporate Office	Committee Member
Director, Investor Relations & General Administrations	Committee Member

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(4) The Corporate Assurance Department

The Corporate Assurance is an independent, objective assurance and consulting activity designed to add value and improve the Group's operations. It helps the Group to accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes.

It also provides assessments as to whether risks, which may hinder the company from achieving its objectives, are being adequately evaluated, managed and controlled. It further evaluates the effectiveness of the governance, risk management and internal control framework and facilitates enhancement, where appropriate.

The Corporate Assurance Department reports directly to the AC.

RISK MANAGEMENT FRAMEWORK

Risk Management

The Group has established the Group Enterprise Risk Management Framework to provide guidelines on the effective management of risks through the application of Enterprise Risk Management (ERM) processes at varying levels and within the Group.

The framework ensures that the risk-related information derived from the ERM process is adequately reported and used as a basis for decision making and is accounted for at all relevant organisational levels. The framework shall be continuously assessed and improved to ensure its adaptability with the changing business environment.

The framework outlines:

- Policy and governance structure for the ERM within the Group;
- Risk management roles and responsibilities within the Group and outlining procedures to mitigate risks;
- Methodology for risk assessment and risk response; and
- Reporting framework to ensure clear communication for all risk management activities and reporting.

Internal Control

The key elements of the Group's internal control system include:

1. Internal Environment

- The Board demonstrates a commitment to integrity and ethical values.
- The Board established the BRMC, majority of whom are Independent Directors and AC comprises of Independent Non-Executive Directors. The BRMC and AC primarily assist the Board in reviewing the organisational risk and internal control with the assistance of the RMC and Internal Audit Department respectively.
- Well-defined lines of responsibilities for the Board, management and each operating unit within the Group; including authorisation level on day-to-day operation.
- The Board and Management holds individual risk owners accountable for their internal control procedures and policies.

2. Integrity & Compliance

- The Group has developed and adopted the Integrity and Anti-Corruption Policy as part of the Group's Anti-Bribery Management System which has been designed to align with the requirements set out in the provision of section 17A under the MACC Act 2018.
- The Group is committed to conduct all of its business in an honest and ethical manner by implementing and enforcing systems that ensure bribes and corruptions are prevented.

3. Risk Assessment

- The Management of each division are responsible to assess, review and update their division's risk profile.
- The Management to identify and assess changes that could significantly impact the system of internal control.

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4. Control Activities

- Each operating unit undertakes business planning and budgeting process each year which are appraised at regular interval.
- The Group review, assess and update the internal control procedures and policies and to improve such policies that have been established and put these policies into action.

5. Information and Communication

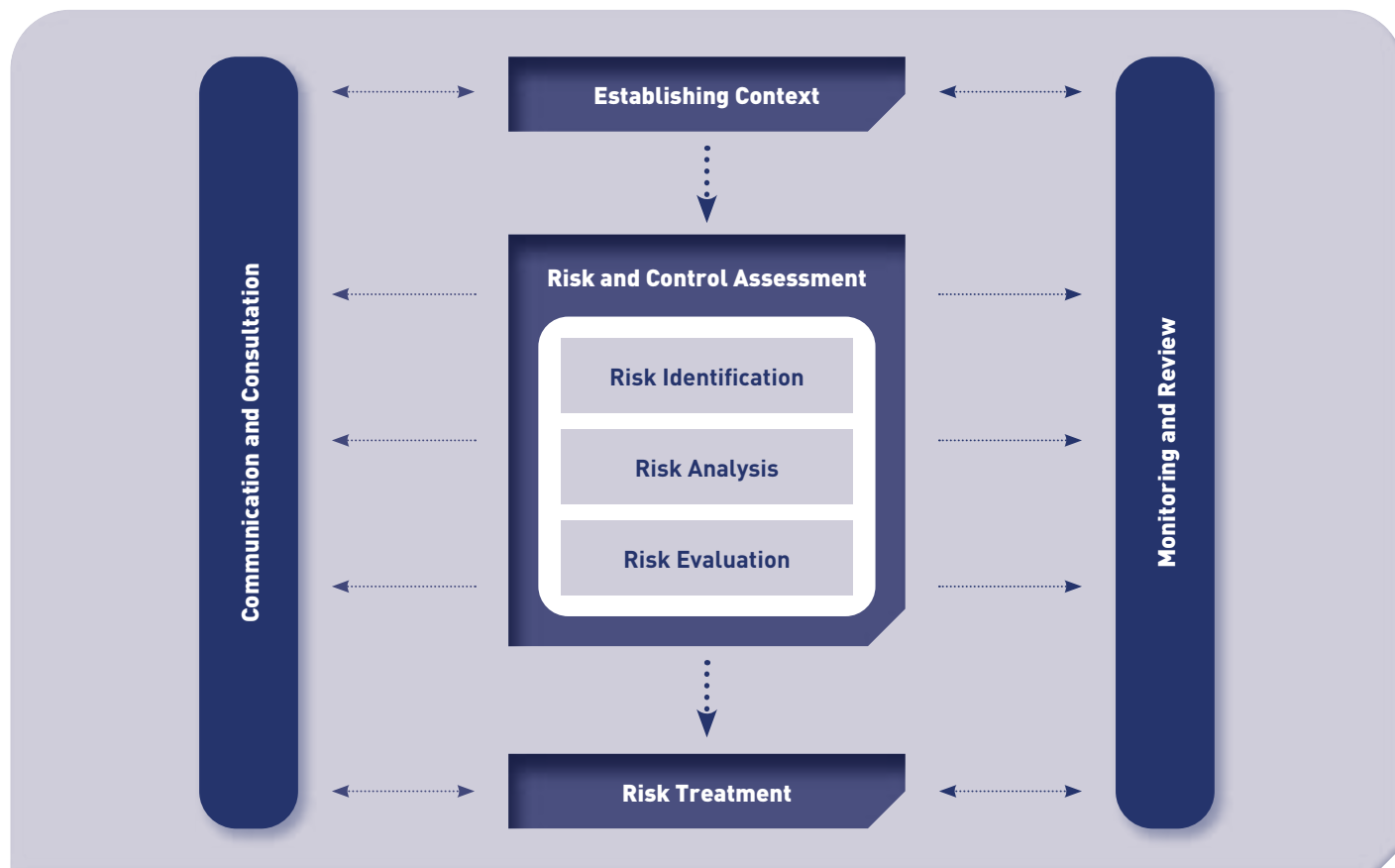
- The Business Risk Profile, where identified risks are recorded, is updated on an ongoing basis and presented to the RMC on a half-yearly basis.
- Significant risk matters that require the attention of the Board are reported to the BRMC and the AC.
- The Group's quarterly financial performance is presented to the Board for review and approval.

6. Monitoring

- The Group performs and evaluates internal control system (e.g. Internal Audit) to ascertain its adequacy and effectiveness.
- The Group performs follow up on the Management's response and action plans stated in the reports from tests and evaluations carried out.

RISK MANAGEMENT PROCESS

The objective of the risk management process is to develop an individual risk profile where risk assessment is conducted from risk identification, analysis, and evaluation of existing controls. The following diagram depicts the risk management approach in the Group:



The risk identification process involves the respective business divisions to establish a risk profile/register to incorporate the risks associated with its business goals. The risk profile/register includes details on the nature of the risk as well as its severity and probability of occurrence.